

Selling a Mortgaged Property

"So back to this couple," Mike said. "When they sell their property, the outstanding loan debt is a lien on the property. The payoff amount for the loan comes out of the seller's proceeds at closing. But let's say this couple transfers title with the lien in place, and the new buyer takes title **subject to the existing mortgage**. The lien is still there-it serves to protect the lender's right to foreclose-but the note that accompanied the original mortgage was in your couple's name, not the new buyer. So who can the lender get a deficiency judgment against if the lender forecloses and takes the new buyer's property, but it's not enough to pay off that lien?"

"My couple?" asked Keira.

"Exactly. The lender can't pursue a deficiency judgment against the new buyer, because the new buyer did not sign the note. Your couple remains responsible for that note. And since the lender expects payment from your couple, if they don't pay, the lender can foreclose on the buyer's property."

"How often does this sort of thing happen-a sale subject to a mortgage?"

"Not often, but it does happen, so it's good for you to know the process."

"Does the new buyer ever simply assume the seller's mortgage debt?"

"**Assumptions** are pretty uncommon. Most conventional loans aren't assumable, and they require the lender's approval. You see assumptions more often with FHA loans and VA loans. If a buyer does assume the seller's mortgage, the buyer assumes liability for the mortgage and personal liability for the note. But here's the rub-the seller also remains responsible for the mortgage and note as well, unless the lender releases the seller from that liability. This isn't an area you want to get into with your clients-make sure they consult their attorney. If the new buyer doesn't make mortgage payments, the seller can end up owing on a property they no longer own or possess. They need to have their attorney get them released from liability-and then make sure the mortgage is recorded, and the release of the mortgage-called a **satisfaction of mortgage** -is recorded. Both are equally important. Recording protects the new buyer's interest in the property, and it also puts the public on notice about the new ownership. Without recordation, a subsequent buyer could come along and also purchase the property from the seller-who's getting a great deal, selling the property twice, right?-and record the purchase. The first buyer would have a hard time claiming title to the property if it's recorded in someone else's name."

"Wow. Has that ever happened?"

"It's rare, but it can happen. Usually attorneys and closing agents make sure everything gets recorded and sewn up nicely at closing.

"The best sale, of course, is one that's **free and clear** -where the seller is released from all liability. And the very best is a cash deal, which is just all kinds of easy. Of course, those put me out of a job, so forget I said that," Mike said, laughing.